Casa de Bolsa Interacciones

QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 26/10/2017)
MXN$45.02

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.942

MARKET CAP. (MXN MN)
211,738

DL VL TRADED (AV. MXN MN)
99.1

TARGET PRICE
P$44 / Var. TP -7.7%

HOLD

*TP Under Review

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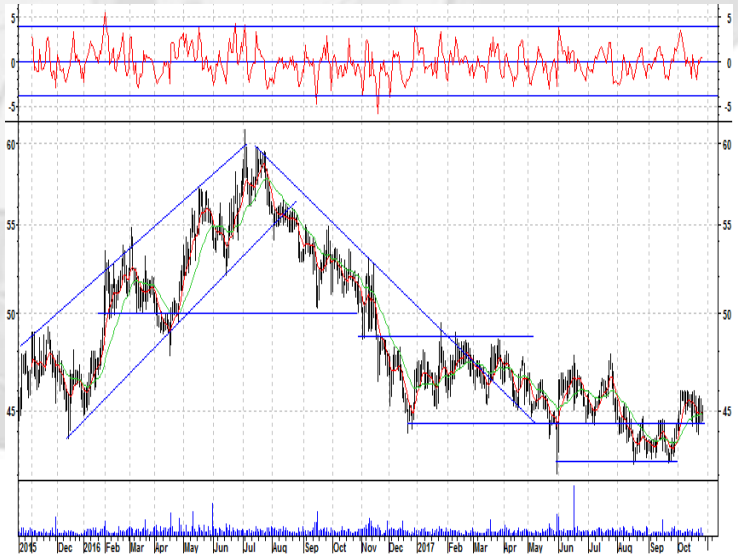
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Q317 Financial Report

Weak quarter – We consider that Bimbo's results were weak as they included a higher-than-expected margin contraction, albeit with a higher revenues; nevertheless, this was a marginal increase of 0.3% a/a, ending in MXN$63.4 billion.

In addition, operating results presented important contractions YoY.

Net income below our expectations - Net income declined 32.6% YoY to MXN$1.7 billion, due to the lower operating performance in combination with exchange losses. We expect that the stock price could have a negative reaction after this report.



	Q317	Q316	Dif (%)
Sales	65,390	65,164	0.3%
Operating Income	4,876	5,837	-16.5%
EBITDA	7,110	8,014	-11.3%
Net Income	1,709	2,537	-32.6%

	3T17	3T16	Dif (bp)
Operating Mgn. (%)	7.5%	9.0%	-150
EBITDA Mgn. (%)	10.9%	12.3%	-142
Profit Mgn. (%)	2.6%	3.9%	-128

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2015	2016	L12M	2017E
P/E	41.8x	37.5x	40.4x	33.1x
P/BV	3.7x	3.1x	3.3x	3.2x
EV/EBITDA	12.1x	10.3x	9.5x	9.3x

Forecasts (mxn mill.)	2015	2016	L12M	2017E
Revenues	219,186	252,141	265,221	268,345
EBITDA	23,369	29,297	29,316	31,572
EBITDA Margin (%)	10.7%	11.6%	11.1%	11.8%
Net Income	5,172	5,899	5,117	6,644
Net Margin (%)	2.4%	2.3%	1.9%	2.5%
Net Debt	63,936	75,686	67,312	71,215
Net Debt / EBITDA	2.74	2.58	2.30	2.26

Source: Interacciones Research and the company

Q317 Financial Report

Favorable revenue growth – Bimbo's consolidated sales remained practically unchanged at MXN$65.4 billion against the previous year.

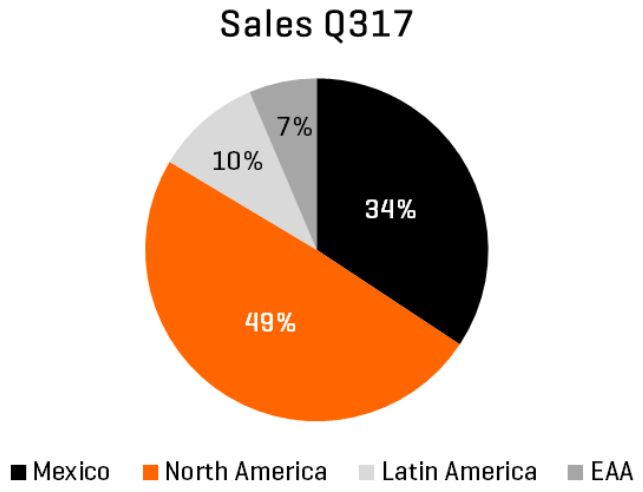
In Mexico, revenues grew 12.2% YoY thanks to the combination of a better mix, higher volumes driven by new launches, and prices in line with inflation. Sales in Europe, Asia and Africa increased 10.4% YoY, due to acquisitions of *Ready Roti* and *Groupe Adghal*. However, this was offset by a 3.8% YoY drop in North America, as a result of the recovery of the Mexican peso during the quarter.

In addition, sales in Latin America were 12.8% YoY lower, due to the removal from the consolidate results, of Venezuela's operations since June 1st of this year, as well as certain exchange rate pressures.

But margins shrink - Gross margin declined 110 bp to 53.0% on raw material hedges in Mexico, as well as a lower revenue growth in the EAA region. This resulted in a 1.8% YoY reduction in the company's gross profit.

The EBITDA margin also decreased 142 bps to 10.9% as a result of higher expenses in the EAA region. As a consequence, Bimbo's EBITDA fell 11.3% YoY to MXN$7.1 billion.

Net income below our expectations - Net income declined 32.6% YoY to MXN$1.7 billion due to a lower operating performance in combination with exchange losses.



Source: Company Quarterly Result

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BIMBO A: Historic Target Price(s) & Recommendation(s)

Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*